tactics adopted to counter competitor's actions. It is also concerned with meeting the challenges posed by the policies and the actions of the competitors in the market. For example, keeping prices low to attract more customers. Since profit margins are very low, the business must sell a lot of products to make money.

Single use plans:

Single use plans is used for a specific purpose only. As soon as the purpose is over the plan becomes useless. Programmes and budgets are the examples of single use plan.

1. **Programme:**

   Programme specifies the date and time by which the activities of the enterprise will be carried out. Programme may be major or minor in nature. For example, to sell 10,000 cycles by the end of the year is the sales programme of the company.

2. **Budget:**

   A budget is the financial plan of a business. It is expressed in numerical terms. A budget is a plan you write down to decide how you will spend your money each month. A budget shows you: how much money you make? And how you spend your money?

   Before preparing the budget, the past happenings, the present needs and future trends are taken into account. Budget is always prepared for specific period of time i.e., for a month, for half year or whole year. A budget helps you decide: what you must spend your money on? And if you can spend less money on some things and more money on other things. For example, your budget might show that you spend Rs.1000 on clothes every month. You might decide you can spend Rs.500 on clothes. You can use the rest of the money to pay bills or to save for something else.



Mr. Peter Manager of a tea factory is planning to expand his business, so that he has decided to purchase raw materials from Nilgiris, and to improve the production he has planned to purchase a machinery cost Rs. Five lakhs. As the factory is far away from the bus stop the employees want to walk for an hour to reach the factory. So he has planned to purchase a van for the workers benefit which may improve production.

Questions

1. What type of plans Mr. Peter used in his factory?
2. What suggestions would you like to give Mr. Peter for his expansion?

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